4.1.2 Counting the Middlemen: A Look at the Intermediaries in a Credit Card Transaction

Modern banking. Simple, right? Take something as seemingly simple as buying a hamburger with a credit card. At first glance, it may seem undemanding and harmless. But if we break down the steps and see the intermediaries involved, you might be surprised at what we discover. Are there inconveniences, inefficiencies, maybe even hidden dangers lurking in the shadows? Let's find out.

Step	Transactions	Descriptions
1	Cardholder-Merchant	You go to McDonald's and order a hamburger using your Citi MasterCard card.
2	Merchant-Payment Processor	McDonald's sends an authorization request to its payment processor.
3	Payment Processor - Credit Card Network	The processor receives the request and sends it to Mastercard.
4	Credit Card Network - Issuing Bank	Mastercard passes the request along to your issuing bank, CitiBank.
5	Issuing Bank - Credit Card Network	Citibank checks that your account is in good standing and sends the authorization code back to the Mastercard.
6	Credit Card Network - Payment Processor	Mastercard sends the authorization back to the processor.
7	Payment Processor - Merchant	The processor sends the authorization back to McDonald's.
8	Cardholder - Merchant	You receive your hamburger.

1

Cardholder
Presents a credit card to the merchant as payment.

2

Merchant
The merchant sends the transaction details to its payment processor.

3

Payment Processor
The processor relays the transaction data to the card network.

4

Credit Card Network
Sends an authorization request to the issuing bank.

5

Issuing Bank
Verifies the card details, checks for available funds, and sends its response (approved or declined) to the cade network.

6

Credit Card Network
Sends the issuer's response to the merchant's payment processor.

7

Payment Processor
Relays the issuer's response to the merchant.

8

Merchant
The merchant and the cardholder complete the transaction.